



Research

The House View: Snapshot

A broadening tightening cycle

Deutsche Bank

Macro views

World

- Global growth of 3.3% in 2026 and 3.4% in 2027.
- **Rationale:** AI investment supports activity despite the energy shock. Brent is forecast to average \$95/bbl in Q4 2026, with supply normalisation expected from Q1 2027.
- **Key risks:** Prolonged Middle East conflict, higher energy costs and tighter financial conditions. Upside risk from stronger AI investment and productivity.

Europe

- Euro-area GDP upgraded to 0.8% (prev. 0.5%) in 2026; 1.2% (prev. 1.1%) in 2027. Growth has been surprisingly resilient in the face of the energy shock.
- **Rationale:** Consumption, defence and AI spending, modest fiscal easing and bank lending have cushioned the energy shock.
- **Key risks:** A worsening energy shock, higher borrowing costs and vulnerable public finances around elections could lift risk premia.

China

- GDP growth lowered to 4.6% in 2026; 2027 remains 4.5%.
- **Rationale:** Exports and AI support growth, but consumption, investment and property remain weak. Fiscal spending is picking up; PBoC rates remain unchanged.
- **Key risks:** Delayed fiscal support, further property weakness and weaker external or AI-related demand.

United States

- 2026 & 2027 GDP growth forecast at 2.2%.
- **Rationale:** Easy financial conditions, fiscal policy and AI-driven capex support growth. Unemployment is expected near 4.1% into year-end; PCE inflation stays above 3% into 2027.
- **Key risks:** A larger oil shock weakens real income; financial conditions tighten; or tighter labour market and AI productivity surprise on the upside.

Germany

- GDP growth forecast at 1.0% in 2026 and 1.3% in 2027.
- **Rationale:** Strong H1 offset by loss of purchasing power caused by the energy shock, although expansionary fiscal policy continues to provide tailwinds.
- **Key risks:** Energy exposure, higher financing costs and political uncertainty could delay the improvement.

India

- 7.3% y/y GDP for FY27 (prev. 6.7%). FY28 growth outlook unchanged at 7.2%.
- **Rationale:** Growth remains strong even as higher oil prices raise inflation and external-balance sensitivity. Current policy looks too accommodative, with strong growth and rising headline inflation (above 6% through Oct-Dec 2026); 100bps of rate hikes starting in Oct 2026.
- **Key risks:** Persistently high oil prices, weaker global demand and tighter domestic financial conditions.

Key downside risks

- H** **Middle East conflict.** Possibility that the war can extend into 2028 pushes Brent forecast to \$130-150/bbl, leading to higher stagflation concerns.
- H** **Inflation:** Higher energy costs, AI investment, fiscal expansion, and higher defence spending could require more monetary tightening.
- M** **Political and fiscal risks.** European elections and fragile public finances could increase risk premia. US cost-of-living concerns remain important ahead of the midterms.

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September 2026

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Market views

	Market Sentiment	– Risk assets remain resilient despite rate hikes and higher yields. – The global economy resilient despite geopolitical conflict and energy risks, supported partly by the AI investment boom. – Key question is how long activity can withstand high energy costs, rising rates and limited fiscal space.
	Equities	– S&P 500 YE-2026 target: 8000; STOXX 600 YE-2026 target: 670. – Earnings recovery has broadened beyond technology. – Overweight mega-cap growth & tech, financials, industrials, and metals & mining.
%	Rates	– YE-2026: 10Y UST at 4.80%; 10Y Bund at 3.20%. – Neutral duration after a long-standing bearish bias. Equilibrium rates and term premia remain structurally higher.
	Credit	– YE 2026: \$IG 85bp; \$HY 315bp; €IG 95bp; €HY 345bp. – Spreads expected to widen modestly. – Prefer US over European credit amid stronger US growth and greater ECB risk.
	FX	– YE: EUR/USD: 1.17; USD/JPY: 150. – Neutral EUR/USD with a mild upside bias.
	Oil & Gold	– Q4-2026: Brent: \$95/bbl; WTI: \$90/bbl. – Supply normalisation expected from Q1 2027, leading Brent to average \$74/bbl in 2027. – Gold: YE-2026 target \$4,600/oz. Higher real yields and a more hawkish Fed weigh near term; 2027 average forecast is \$5,100/oz.
	Monetary Policy	– Fed: Two 25bp hikes in Dec and Mar, taking policy rate to 4.375%. – ECB: 25bp hikes in Dec, taking the deposit rate to 2.75%. – BoJ: Two 25bp hikes in Jan and Apr, bringing policy rate to 1.75%. – BoE: Two 25bp hikes in Nov and Feb, taking Bank Rate to 4.25%. – PBoC: Unchanged at 1.40% through 2026.

Key macro & markets forecasts

GDP growth (%)			Central bank policy rate (%)				Key market forecasts			
	2026F	2027F		Current	Dec 26F	Jun 27F		Current	Dec 26F	Jun 27F
Global	3.3	3.4	US: Federal Funds Rate	3.875	4.125	4.375	US 10Y yield (%)	5.11	4.80	4.75
US	2.2	2.2	Eurozone: Deposit Facility Rate	2.50	2.75	2.75	EUR 10Y yield (%)	3.55	3.20	3.20
Eurozone	0.8	1.2	UK: Bank Rate	3.75	4.00	4.25	S&P 500	7,706	8,000	-
Germany	1.0	1.3	Japan: Policy Balance Rate	1.25	1.25	1.75	Gold	4,288	4,600	5,000
Japan	0.7	0.9	China: 7d OMO Rate	1.40	1.40	1.40	EUR/USD	1.14	1.17	-
UK	1.3	1.4					USD/JPY	158	150	-
China	4.6	4.5					Oil WTI (USD/bbl)	91	90	67
							Oil Brent (USD/bbl)	102	95	70

2026 Macro events calendar

October 2026			November 2026			December 2026		
28	CA	Bank of Canada Decision	3	US	Midterm Elections	9	CA	Bank of Canada Decision
28	US	Fed Decision	5	UK	Bank of England Decision	9	US	Fed Decision
29	EZ	ECB Decision				17	UK	Bank of England Decision
29-30	JN	Bank of Japan Decision				17	EZ	ECB Decision
						18	JN	Bank of Japan Decision



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